Bachatt today: entry is clear, the future is contested

Memo for Piyush · From Sandeep · 19 October 2026 · Should we launch a challenger, and where do we fight?

Bachatt Model

Acquisition + Retention + Servicing

✓ Built / live
✗ Vision / not built

ACQUISITION	RETENTION	SERVICING
✓ Savings product through debt funds	✓ Financial products (MF, Insta Fund, Gold/Silver)	✗ ① AI financial planning
✓ Online acquisition	✗ Wallet-like: save in / withdraw out	✓ ② Lean DSA + digital
✗ Offline acquisition	✓ Daily / flexible SIP for irregular incomes	✓ ③ Loans on book (to verify, XL-12)
✓ Low-ticket entry (~₹250)	✓ No lock-in, instant withdraw	✗ ④ 3-month EMI + gold loan
✓ → Digital loans through DSA		

Vision → go-to financial planning app / wallet (save in, withdraw out, finance purchases)

Power move: own the customer relationship + money flows → EMI on products deepens habit and data

Exhibit 1: The Bachatt model as it stands. Each square is built (✓) or still a vision (✗). We use this slide as our map of the market.

Entry is clear

Every ✓ square can be matched with a distributor code, payment rails and lender partners: **table stakes, not a moat**. Bachatt's lead is scale (about 30 lakh users, about $16M raised), not capability.

The future is contested

The ✗ squares (offline, wallet, AI planning, short EMI and gold loans) plus loans on book are where value will be won. Paytm, PhonePe, Jar, Snapmint and gold lenders all want them too.

Our ground

Offline is Bachatt's empty square and our wedge. It feeds the rest: retention from a person, collections, credit from the savings record, and doorstep gold checks for gold loans.

Recommendation. Launch as a challenger only if we take the contested squares Bachatt can't easily reach: **assisted acquisition and servicing**, and a **credit engine with real collections**. Match the ✓ squares quickly. Prove the wedge in a 6-month, one-city pilot before raising.

1. Entry is clear: the ✓ squares are table stakes

Everything Bachatt marks as built can be matched. What it takes:

✓ Square	What it takes to match	Moat?
Savings through debt funds	An AMFI ARN for the company (₹40,000) and NISM-certified staff (₹1,500 an exam) (REG-036/037), fund transaction rails, KYC, UPI auto-debit.	No: months, not years
Low-ticket entry; daily / flexible SIP	Daily UPI SIPs from about ₹51–100 (BAC-05). The cost is per-debit payment fees.	No
Online acquisition	Performance marketing. Online costs about ₹500 per activated saver (our estimate). Groww's cost to acquire a customer rose from ₹796 to ₹1,374 (TB-18).	No: money, and it's expensive
Financial products (MF, Insta Fund, gold/silver)	The same fund shelf. Distributors earn trail only on regular plans; liquid funds pay about 8 bp (REG-039).	No
No lock-in, instant withdraw	Instant redemption from liquid funds, capped at ₹50,000 or 90% a day per scheme (REG-041).	No: rule-bound
Digital loans through DSA; lean DSA + digital	Partner NBFCs, as Bachatt lists (XL-12), under the Digital Lending Directions. Pays 1–3% a loan, once (XL-13).	No: the lenders own it
Loans on book	Needs an NBFC. Bachatt's site says partner NBFCs disburse (XL-12). **Verify** before treating this as built.	Possibly, if real

> **Implication.** A well-funded team can reach the ✓ column in about 6–9 months. Copying Bachatt gives us parity at best. What decides the market is **who wins the contested squares**.

2. Why the contested squares decide the market: the money is not in savings

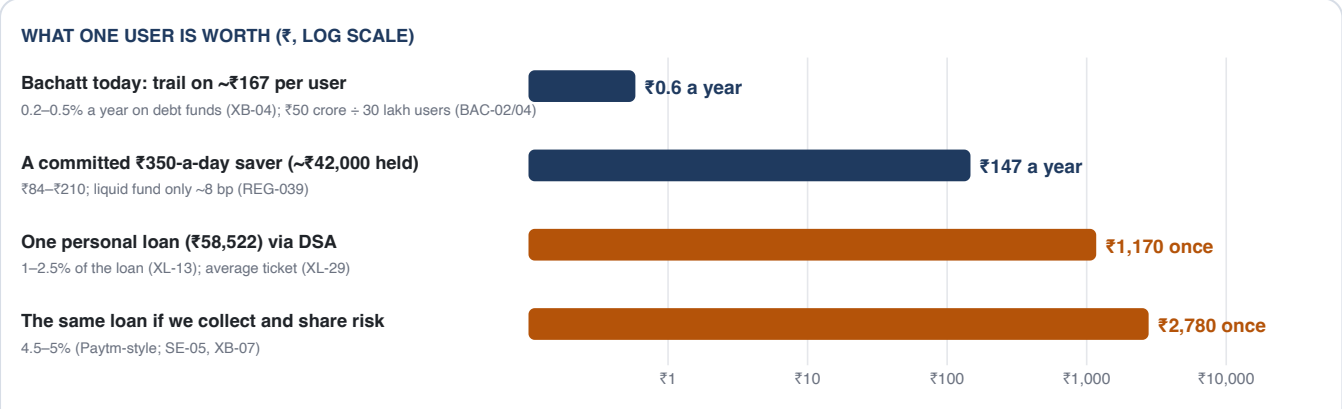


Exhibit 2: What one user is worth. Savings trail is under ₹1 a user a year at Bachatt's visible balances. One loan is worth more than years of trail, and the economics improve again when we collect and share risk. An own NBFC earns a ~21% margin but carries 8–10% credit cost (Stashfin, LEV-026). The ₹350-a-day saver is our illustration.

3. The future is contested, square by square

✗ Square	Why it matters	Who else wants it	What wins it, and our angle
Offline acquisition (Bachatt ✗)	Cash-heavy earners trust a person. Apps keep roughly 1 in 4 savers a year.	Banks' daily-deposit agents; PhonePe (≈25,700 field staff, QM-12) and Paytm sell to merchants, not to savers.	**Our wedge.** Agents who open accounts and come back every few days. A field-led savings fintech reports agents onboarding 100+ a month (practitioner, one data point).
Wallet-like: save in / withdraw out	A daily habit and money flows; the base for everything else.	Paytm and PhonePe wallets; Jar daily savings.	It must run on fund rails: no stored value without an RBI licence, payments from the saver's own account (REG-066), never hold money (REG-081), within instant-redemption caps (REG-041). **The winner makes "in and out" feel instant**, with a person to call.
AI financial planning	The relationship layer: engagement and cross-sell.	Every app will claim it.	AI alone is a commodity. **AI through a trusted agent** is not. Acting on money (auto-switching) raises advice and discretion rules (to verify), so start with one-tap actions the user confirms.
3-month EMI + gold loan	Credit is where the money is (Exhibit 2).	Gold: Muthoot, Manappuram, banks (≈3.8 crore gold loans a quarter, XL-28). EMI: Snapmint, Bajaj Finance.	**Gold loans need physical gold.** RBI bars lending against gold fund units or digital gold (REG-022/023). So the gold loan needs **doorstep appraisal: an offline capability**. EMI credit on UPI is open only to banks and small finance banks (REG-074), so partner with one.
Loans on book (contested even if ✓)	The biggest prize, and the biggest risk.	Fintech NBFCs (Moneyview, KreditBee, Kissht).	The edge is credit quality: the savings record plus collections (Paytm resolves 83–90% of early-overdue loans, XB-07). Earn the book step by step: DSA, then risk-share, then NBFC.

> **The pattern.** Bachatt's empty square, offline, is the one that unlocks the others:
>
> - **Retention:** a person keeps the saver saving.
> - **Collections:** the agent knows the borrower.
> - **Gold loans:** the agent can check the gold at the door.
> - **AI:** it lands through someone the saver trusts.
>
> That is why we treat offline as the wedge, not a side channel.

4. The challenger's slide: same map, different ground

Challenger model

Same three columns; we compete on the contested squares

✓ Built / live
✗ Vision / not built

ACQUISITION	RETENTION	SERVICING
✓ Savings through debt funds: match Bachatt TABLE STAKES	✓ Same product shelf (funds, not digital gold) TABLE STAKES	✓ AI planning delivered through the agent (AI + human) CONTESTED
✓ Online and OFFLINE: assisted, local agents serve cash earners OUR WEDGE	✓ Habit from a person: a visit every few days plus the app OUR WEDGE	✓ Collections as a capability: the agent knows the borrower OUR WEDGE
✓ Low ticket; cash first, then UPI TABLE STAKES	✓ Save in / withdraw out on fund rails (within instant-redemption limits) CONTESTED	✓ Credit judged on the savings record → own book when earned CONTESTED
✓ → Loans: partner first, then risk-share, then own book CONTESTED	✓ Daily SIP; never hold customer money TABLE STAKES	✓ Gold loans and EMI through partners, with doorstep gold checks CONTESTED

Vision → the trusted daily money partner for cash earners: save, withdraw, borrow, protect, with a person behind the app

Power move: a person + the savings record + collections → credit quality nobody online can match

Exhibit 3: Our version of the slide. Green tags (table stakes) we match; amber tags (our wedge) we lead; red tags (contested) we fight for with the wedge behind us.

5. What could stop us

Money flows	Fund subscriptions must come from the saver's own account (REG-066). Collecting cash for funds needs a legal opinion; SEBI limits cash in funds (≈₹50,000 per investor a year, to verify). Never hold money (REG-081).
Offline cost and scale	Agents cost money every month. The wedge only works if a person wins and keeps savers for less per saver kept than online does, and if cities don't saturate too quickly.
Credit risk	Fintech NBFC credit costs run 6–10% (LEV-022/026). The savings record has to prove it predicts repayment before we take loans onto our book.
Rules in motion	IRDAI draft caps on insurance commission (REG-053). DLG capped at 5% (SE-04). SEBI warns on digital gold (SAV-11).
Bachatt adds offline	With $16M it can. Our defence is execution depth (collections, gold appraisal, the city playbook) and speed in one region first.

6. Prove it in one city, in 6 months

1. **Savers won per agent a month, and the cost per saver who stays,** against online's ≈₹500 per activated saver.
2. **Share still saving at months 3, 6 and 12,** against apps' ≈1 in 4 at a year.
3. **Share of deposits moved from cash to UPI:** this decides how many savers one agent can serve.

4. **Loan take-up, plus signed lender terms** for risk-sharing, above the 1–3% DSA fee.
5. **Gold-loan pilot with a partner lender:** doorstep appraisal volume and quality.

7. Decisions for us

1. Do we agree the fight is on the contested squares, with offline as the wedge?
2. Which city and segment first? For example NCR shopkeepers and vendors.
3. Credit path: when to move from DSA to risk-share to our own NBFC, and who leads credit and collections?
4. What are the kill thresholds for the five pilot numbers, agreed in advance?

Sources

IDs are rows in our research files. Bachatt figures are company claims. "Our estimate" and "to verify" mark items that are not sourced facts.

ID	What	Where
BAC-02/03/05, XB-03	Bachatt press release / Series A: ~3M users, 2M MF transactions (Feb 2026), product details	https://bachatt.app/press-release
BAC-04, XL-12	Bachatt homepage: ₹50 crore+ invested; loans via partner NBFCs (Bachatt as LSP)	https://bachatt.app/
QM-45	Entrackr: Bachatt $12M Series A (Accel); about $16M raised in all	https://entrackr.com/news/wealthtech-startup-bachatt-raises-12-mn-in-series-a-led-by-accel-11438527
REG-036/037	AMFI ARN fee (₹40,000 for a private company); NISM V-A exam ₹1,500 + GST	AMFI / NISM (research/regulation_rails.csv)
REG-039	Trail only on regular plans; liquid-fund regular-direct gap ≈ 8 bp	research/regulation_rails.csv
REG-041	Instant Access Facility: lower of ₹50,000 or 90% a day per scheme	research/regulation_rails.csv
REG-022/023	RBI Gold Lending Directions 2025: no loans against gold ETF or MF units, or digital gold	research/regulation_rails.csv
XB-04	Debt-fund distributor trail 0.2–0.5% a year	https://www.kotakmf.com/Information/blogs/direct-vs-regular-plan
XL-13	DSA payouts on personal loans 1–2.5%	https://gromo.in/blog/dsa-loan-agent-commission/
XL-28/29	CRIF: ≈381 lakh gold loans a quarter; personal-loan average ₹58,522	https://www.crifhighmark.com/media/5315/how-india-lends-report-june2025.pdf
SE-05, XB-07	Paytm: 4.5–5% per merchant loan; early-overdue resolution 83–90%	https://paytm.com/document/ir/financial-results/fy2025-26/Paytm_Earning-Release_Q4-FY2026-FY-2026.pdf
LEV-022, LEV-026	KreditBee credit cost 6–8%; Stashfin credit cost 8–10%, NIM 21.3%, RoMA 1.2%	https://www.icra.in/Rating/GetRationalReportFilePdf?id=138434
TB-18	Groww cost to acquire a customer ₹796 → ₹1,374	https://entrackr.com/news/growws-customer-acquisition-cost-spikes-73-in-h1-fy26-10799610
QM-12	PhonePe: 25,657 field staff + 31,000+ agents (DRHP)	https://www.thehansindia.com/amp/business/phonepes-merchant-network-hits-47-million-businesses-drhp-reveals-diversified-monetisation-1054264
REG-066, REG-081, REG-074	SEBI own-account payments; BUDS Act; UPI credit lines only for banks and small finance banks	research/regulation_rails.csv
REG-053, SE-04, SAV-11	IRDAI draft commission caps; DLG cap 5%; SEBI on digital gold	research/regulation_rails.csv